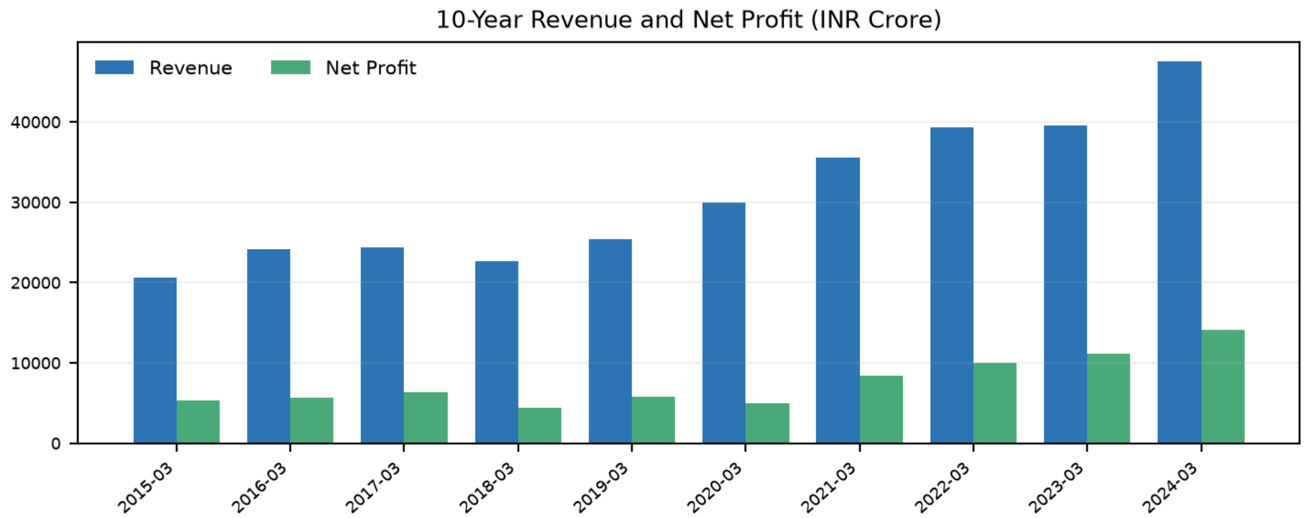
REC Ltd

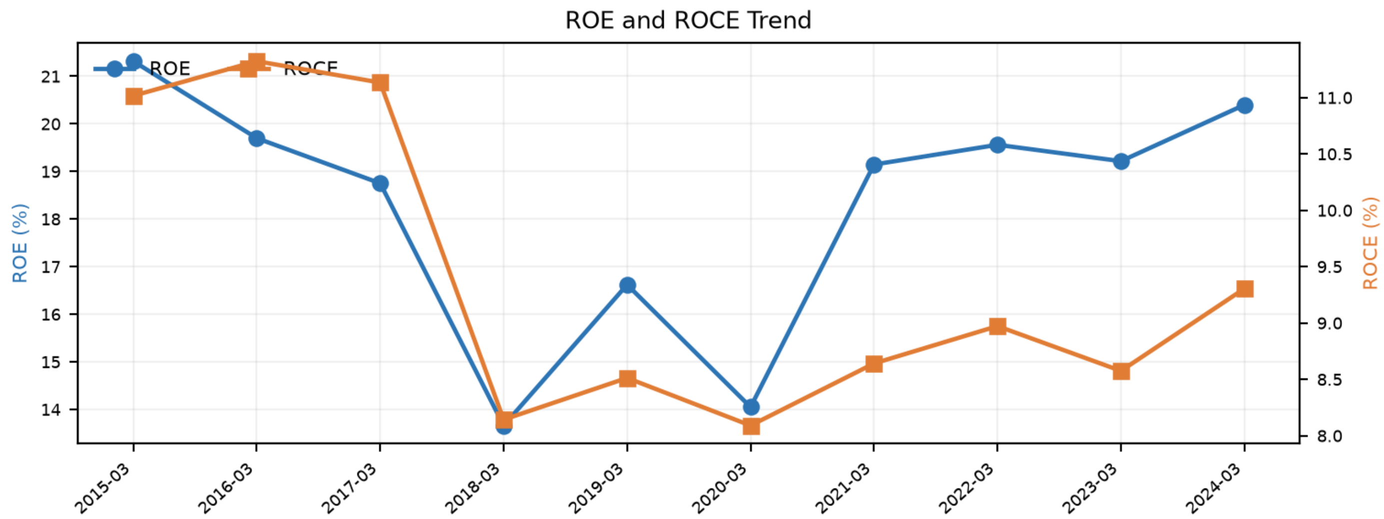
RECLTD | Latest fiscal period 2024-03

24.8
HEALTH · Poor

ROE	ROCE	OPM
20.4%	9.3%	100.8%

DEBT / EQUITY	REVENUE CAGR 5Y	P/E
6.4x	13.3%	31.5x

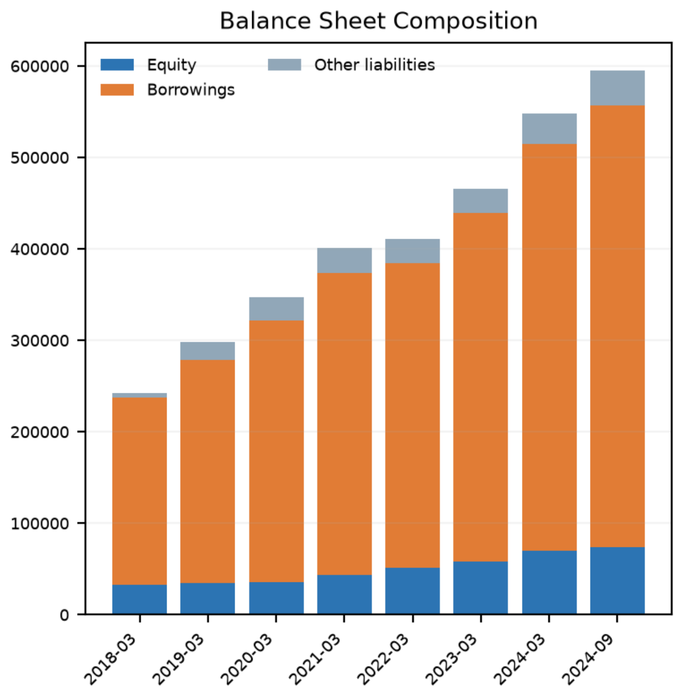


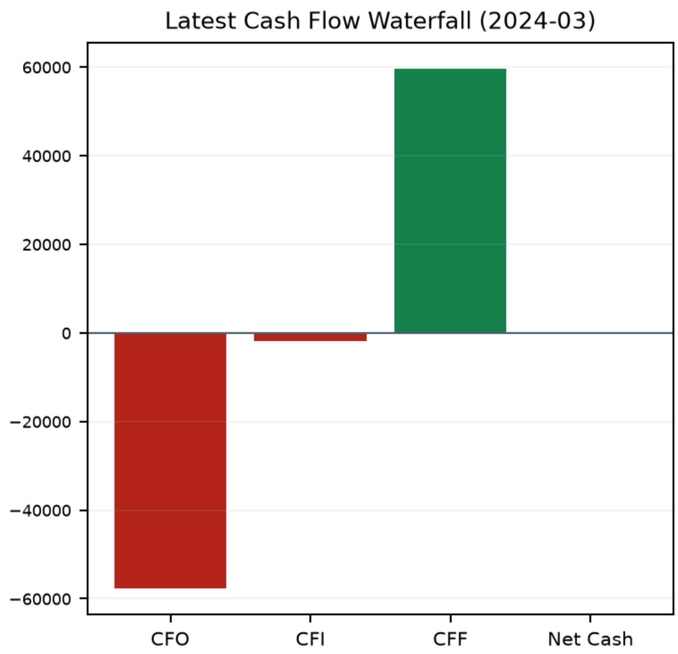


REC Ltd

RECLTD | Cash Flow · Balance Sheet · Signals

24.8
HEALTH · Poor





Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

CAPITAL ALLOCATION · EXTERNALLY FUNDED INVESTMENT